NORTHWIND BANK LIMITED
INTERNAL KYC AND CUSTOMER DATA POLICY (FICTIONAL SAMPLE, VERSION 3.2)

1. Purpose and scope. This policy sets the minimum Know Your Customer (KYC), anti-money laundering and customer data requirements for Northwind Bank and for every vendor that processes customer data on its behalf. Vendor contracts must not permit practices weaker than this policy.

2. Definitions. An officially valid document (OVD) is a passport, driving licence, voter identity card, job card issued by NREGA, or proof of possession of an Aadhaar number. A beneficial owner of a company is any natural person who owns more than 10 percent of its shares or capital. A politically exposed person (PEP) is an individual entrusted with a prominent public function, such as a head of state, senior politician or senior judicial official.

3. Roles. The Principal Officer, a member of senior management, is responsible for monitoring transactions and reporting to the Financial Intelligence Unit (FIU-IND). The Designated Director, appointed by the Board, is responsible for overall compliance with this policy.

4. Customer acceptance. No account may be opened in an anonymous or fictitious name. No account may be opened where customer due diligence cannot be completed because the customer does not cooperate or does not provide the required documents.

5. Customer identification and proof of address. Address must be verified using an officially valid document. A customer’s self-declaration of address is not acceptable as proof of address under any circumstances. A utility bill not older than two months may be accepted as a deemed OVD for a limited period, and the customer must then submit an OVD with the current address within three months.

6. Video-based customer identification (V-CIP). Customers may be identified through a live video call conducted by a trained Bank official. The customer’s live location must be geo-tagged and must be within India. The video recording and the audit trail must be stored securely and retained like other KYC records.

7. Handling of Aadhaar numbers. Neither the Bank nor any vendor may store a customer's full Aadhaar number. The first eight digits must be redacted or masked before any copy of an Aadhaar document is stored. Offline Aadhaar XML files used for verification must not be more than three days old.

8. Risk categorisation. Every customer is classified as low, medium or high risk. Politically exposed persons, non-resident customers and customers with complex ownership structures are classified as high risk. Risk categories are reviewed at least once every six months.

9. Enhanced due diligence. Accounts of politically exposed persons require approval from senior management before they are opened. For all high-risk customers the Bank must establish the source of funds and source of wealth, and monitor transactions more closely.

10. Periodic updation of KYC. KYC must be updated at least once every two years for high-risk customers, once every eight years for medium-risk customers and once every ten years for low-risk customers. Customers must receive at least three reminders before the due date. If KYC is not updated within 30 days of the due date, the account may be partially frozen.

11. Record retention. KYC records and identification documents must be preserved for at least five years after the business relationship with the customer has ended or the account has been closed, whichever is later. Records of transactions must be preserved for at least five years from the date of the transaction. Records must not be destroyed earlier and must be made available to competent authorities on request.

12. Regulatory reporting. Cash transaction reports for cash transactions above Rs. 10 lakh must be filed with FIU-IND every month, by the 15th day of the following month. A suspicious transaction report must be filed within seven working days of concluding that a transaction is suspicious.

13. Consent and data sharing. Customer data may be shared with a third party only with the customer's explicit, informed consent and only for the purpose stated at the time of consent. Customer data must never be used for marketing or shared with marketing partners without a separate opt-in consent.

14. Vendors and outsourcing. Vendors must give the Bank and the Reserve Bank of India unrestricted access to premises, systems and records for audit and inspection. Vendors must not sub-contract any processing of customer data without the Bank's prior written approval. Vendors must report any security incident or data breach affecting customer data to the Bank within six hours of detection. All customer data, including backups, must be stored only on systems located in India.

15. Training and review. All staff complete AML and KYC training every year. The Board reviews this policy at least once a year.